

ECO 360—MONEY AND BANKING

Fall 2015

Department of Economics
Stony Brook University

Instructor: Alejandro Melo Ponce

Lecture time: Mondays & Wednesdays, 5:30 PM–6:50 PM

Classroom: Psychology A 137

Office hours: Tuesdays 3:00 PM–5:00 PM or by appointment, SBS N604

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Course Description

This course will look at some key issues in the theory and practice of financial markets, monetary policy and banking and how their interactions affect the real world. The objective of this course is to provide an introduction to the economic theory behind the way in which monetary policy can be designed and implemented. By focusing on the interactions between monetary policy, banking and financial markets, this course will give students the tools they need to understand and evaluate these links and apply their findings to real world applications in a variety of countries.

Upon successful completion of the course, the student should be able to understand the main elements of the financial system; apply both micro and macro theory to real-world situations in the areas of money and banking; critically discuss and debate a range of current monetary issues.

Course Requirements

C or higher in ECO 108.

Course Material

- **Textbook** (*Required*): Frederic S. Mishkin, *The Economics of Money, Banking, and Financial Markets*, 11th edition, Pearson, 2015. (Old editions can be also used.)
- **Supplementary materials and lecture notes** will be posted on Blackboard: <https://blackboard.stonybrook.edu/>. You are responsible for checking for announcements in BB regularly.

Attendance

Attending lectures is *highly* recommended. By attending lectures you will be able to benefit from in-class presentations and discussions. You are also responsible for learning everything discussed in class whether these topics are in the textbook or not. Additionally, extra credit will be given to students in class.

Rules and Regulations

During lectures, please keep your cell phones switched off and refrain from text messaging. Inattentive students (e.g. students reading newspapers or doing web browsing unrelated to class discussion) will be considered “absent” for extra credit purposes. Inattentive students whose actions are judged to be disruptive to class discussion will be asked to leave.

Grading Policy

Grading will be weighted as follows:

- Assignments (40%)
- Exams (60%)
- You will also have the opportunity to earn bonus points (up to 10 points towards your final grade) during the course by attending lectures, by answering the questions that I may ask you or/and making contributions to the class discussions.

A letter grade based on the sum of the components above will be assigned as follows:

Letter Grade	Score Achieved
A	A total grade of at least 93% or higher
A–	A total grade of 90% or above and below 93%
B+	A total grade of 87% or above and below 90%
B	A total grade of 83% or above and below 87%
B–	A total grade of 80% or above and below 83%
C+	A total grade of 77% or above and below 80%
C	A total grade of 73% or above and below 77%
C–	A total grade of 70% or above and below 73%
D+	A total grade of 66% or above and below 70%
D	A total grade of 60% or above and below 66%
F	A total grade of less than 60%

Homework assignments

There will be biweekly homework assignments which will be available through Blackboard. At the end of the semester, I will drop your worst assignment from the grade calculation. Each assignment will cover the topics of roughly 4–5 lectures. I will announce the due date in class and in Blackboard. Assignments will also be submitted through Blackboard. Since the assignments are submitted online, the deadline will be **strict**.

Exams

There will be 5 exams. I will announce in class and in Blackboard which topics each of the exams will cover. At the end of the semester I will only keep the best four of your exam scores. Only the last exam is cumulative (but you may choose to skip it if you did well enough in your previous exams) and it will be given during the final exams week.

Note that since your lowest scoring exam will be dropped **there will be NO make-up exams**. I strongly encourage you not to miss exams. If for whatever reason classes are canceled by the university on an exam date, the exam date will be moved to the next class. See the table below for important dates.

Exam	Date	Place
Exam 1	09/16/15	in class
Exam 2	10/14/15	in class
Exam 3	11/04/15	in class
Exam 4	12/02/15	in class
Exam 5	12/10/15	TBA

Class Participation

You are encouraged to participate in class discussions. Asking questions is critical to your understanding of the material. Raising your questions often helps you solidify what you do and do not understand. It also provides your instructor important feedback on the areas in which we need to spend more time. During lecture, I will encourage questions and I will solicit input. Also, class participation is important to get the extra bonus points.

Tentative Course Outline

This is a broad list of topics and readings for each course section. The day-by-day list of readings will be posted on Blackboard. Subjects are tentative and are subject to change.

1. Introduction
Readings: Mishkin 1
2. An Overview of the Financial System
Readings: Mishkin 2
3. What Is Money?
Readings: Mishkin 3
4. Understanding Interest Rates
Readings: Mishkin 4
5. The Behavior of Interest Rates
Readings: Mishkin 5
6. The Risk and Term Structure of Interest Rates
Readings: Mishkin 6
7. The Stock Market, the Theory of Rational Expectations, and the Efficient Market Hypothesis
Readings: Mishkin 7
8. An Economic Analysis of Financial Structure
Readings: Mishkin 8
9. Chapter 9: Financial Crises
Readings: Mishkin 9

10. Central Banks and the Federal Reserve System
Readings: Mishkin 13
11. The Money Supply Process
Readings: Mishkin 14
12. The Tools of Monetary Policy
Readings: Mishkin 15
13. The Conduct of Monetary Policy: Strategy and Tactics
Readings: Mishkin 16
14. Quantity Theory, Inflation, and the Demand for Money
Readings: Mishkin 19
15. The IS Curve
Readings: Mishkin 20
16. The Monetary Policy and Aggregate Demand Curves
Readings: Mishkin 21
17. Aggregate Demand and Supply Analysis
Readings: Mishkin 22
18. Monetary Policy Theory
Readings: Mishkin 23
19. The Role of Expectations in Monetary Policy
Readings: Mishkin 24

Special Needs

If you have a physical, psychological, medical or learning disability that may impact your course work, please contact Disability Support Services, 128 ECC Building (631) 632-6748. They will determine with you what accommodations are necessary and appropriate. All information and documentation is confidential.

Students who require assistance during emergency evacuation are encouraged to discuss their needs with their professors and Disability Support Services. For procedures and information go to the following web site: <http://www.ehs.sunysb.edu> and search Fire Safety and Evacuation and Disabilities.

Academic Integrity

Each student must pursue his or her academic goals honestly and be personally accountable for all submitted work. Representing another person's work as your own is always wrong. Faculty are required to report any suspected instances of academic dishonesty to the Academic Judiciary. For more comprehensive information on academic integrity, including categories of academic dishonesty, please refer to the academic judiciary website at http://www.stonybrook.edu/commcms/academic_integrity/index.html

Critical Incident Management

Stony Brook University expects students to respect the rights, privileges, and property of other people. Faculty are required to report to the Office of Judicial Affairs any disruptive behavior that interrupts their ability to teach, compromises the safety of the learning environment, or inhibits students' ability to learn. Faculty in the HSC Schools and the School of Medicine are required to follow their school-specific procedures.

Disclaimer

Subsequent changes can be made to any part of this syllabus when necessary. Any changes will be announced in class and on BlackBoard.